

OTC MARKETS GROUP INC.

A Delaware Corporation

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Federal EIN: 13-3941069
NAICS: 523210
SIC Code: 6289

Issuer's Quarterly Report

For the quarterly period ended March 31, 2020
(the "Reporting Period")

ISSUER'S EQUITY SECURITIES

COMMON STOCK

Class A Common Stock
\$0.01 Par Value Per Share
14,000,000 Shares Authorized
12,296,029 Shares Outstanding as of April 30, 2020
OTCQX: OTCM

OTC Markets Group Inc. is responsible for the content of this Quarterly Report. The securities described in this document are not registered with, and the information contained in this report has not been filed with, or approved by, the U.S. Securities and Exchange Commission.

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QUARTERLY REPORT

Cautionary Note Regarding Forward-Looking Statements

Information set forth in this Quarterly Report (the “Quarterly Report”) contains forward-looking statements, which involve a number of risks and uncertainties that could cause our actual results to differ materially from those reflected in the forward-looking statements. Forward-looking statements can be identified by use of the words “expect,” “project,” “may,” “might,” “potential,” and similar terms. OTC Markets Group Inc. (“OTC Markets Group”, “we” or the “Company”) cautions readers that any forward-looking information is not a guarantee of future performance and that actual results could differ materially from those contained in the forward-looking information. Forward-looking statements involve a number of risks, uncertainties or other factors beyond OTC Markets Group’s control. These factors include, but are not limited to, our ability to implement our strategic initiatives, economic, political and market conditions and price fluctuations, government and industry regulation, U.S. and global competition, the impact of the novel coronavirus (“COVID-19”) pandemic, including changes to trading behavior broadly in the market, and the risk factors discussed under the heading “Risk Factors” in this Quarterly Report for the Reporting Period and our Annual Report for the year ended December 31, 2019. We undertake no obligation to revise or publicly release the results of any revision to these forward-looking statements. Given these risks and uncertainties, readers are cautioned not to place undue reliance on such forward-looking statements. We undertake no obligation to update any forward-looking statement, whether as a result of new information, future events or otherwise.

Item 1. The exact name of the issuer and the address of its principal executive offices

The name of the issuer is OTC Markets Group Inc.

Company description

OTC Markets Group Inc. (OTCQX: OTCM) operates the OTCQX® Best Market, the OTCQB® Venture Market, and the Pink® Open Market for 10,000 U.S. and global securities. Through our two Securities and Exchange Commission (“SEC”) registered alternative trading systems (“ATS”), OTC Link® ATS and OTC Link ECN, we connect a diverse network of Financial Industry Regulatory Authority (“FINRA”) member broker-dealers that provide liquidity and execution services. We enable investors to easily trade through the broker of their choice and empower companies to improve the quality of information available for investors.

The address of the issuer is: **300 Vesey Street, 12th Floor
New York, NY 10282**

The telephone and facsimile are: **Telephone: (212) 896-4400
Facsimile: (212) 868-3848**

The issuer's website:

OTC Markets Group's corporate website, www.otcmarkets.com, contains general information about us and our products and services. We also maintain www.otciq.com, www.otcdealer.com, www.garavan.com, www.virtualinvestorconferences.com, www.lifesciencesinvestorforum.com and www.lifescienceinvestorforum.com. The information contained on such websites shall not be deemed incorporated by reference herein.

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Item 1A. Risk Factors

The following risk factor represents a material update and addition to the risk factors previously disclosed in our Annual Report for the year ended December 31, 2019. Additional risks not presently known to us, or that we currently deem immaterial, may also adversely affect our business, financial condition or results of operations.

The economic impact of the novel COVID-19 outbreak could adversely affect our financial condition and results of operations.

The COVID-19 pandemic and governmental and other measures aimed at containing its spread have resulted in an unprecedented slowdown in economic activity and are expected to continue to have a substantial negative impact on businesses around the world and on global, regional and national economies.

We expect that the resultant weakening of global economic conditions will have an adverse effect on our business, financial condition and results of operations. If the pandemic and/or its economic impact are prolonged, it is likely to amplify these negative impacts on our business and may also heighten many of the other risks described in the "Risk Factors" section of our Annual Report for the year ended December 31, 2019.

We could be subject to any of the following risks, as well as additional risks not presently known to us, or that we currently deem immaterial, any of one of which could have a material, adverse effect on our business, financial condition, liquidity, and results of operations.

- Existing clients and subscribers may choose to cancel or reduce the services they purchase from us. In particular, a prolonged period of deterioration in macro-economic conditions could negatively impact existing customers of our Corporate Services business line, as well as the pool of available companies for our Corporate Services offerings.
- Potential clients and subscribers could choose to delay or defer purchasing decisions or product and service implementations.
- We are exposed to credit risk from third parties and these parties may be negatively impacted by the current economic conditions causing them to default on their obligations to us due to bankruptcy, lack of liquidity, or other reasons.
- Third-party vendors on which we rely could be negatively impacted by the COVID-19

- outbreak causing interruption to or delays in the service they provide to us.
- The COVID-19 pandemic could have a substantial impact on our employees or vendors attendance or productivity, both as a result of the challenges of working from a remote environment or as a result of illness, impacting the effectiveness of our operations and hampering our ability to deliver on strategic initiatives.
- A prolonged economic downturn could result in reduced levels of trading activity on our markets and would adversely impact OTC Link transaction-based revenues while also likely curtailing customer demand for our Corporate Services and Market Data Licensing products.
- It is likely that a general and prolonged decline in trading activity would adversely affect our broker-dealer subscribers, possibly driving continued business consolidation and/or further declines in headcount within the financial services industry, all of which would adversely impact our OTC Link and Market Data Licensing businesses.

Given the unprecedented, ongoing and dynamic nature of the current circumstances, the full scope of the impact the COVID-19 outbreak will have on our business, results of operations and overall financial performance is likely to be material, but cannot be reasonably estimated at this time. The extent to which the pandemic will materially adversely affect our business and results of operations will depend on numerous evolving factors and future developments that we are not able to predict, including the duration, spread and severity of the outbreak; the nature, extent and effectiveness of containment measures; the extent and duration of the effect on the global economic conditions and how quickly and to what extent normal economic and operating conditions can resume. See *Trends in Our Business*, below, for additional information on the potential impact of COVID-19 on our specific business lines and operations.

Item 2. Shares outstanding

The Company is authorized to issue 14,000,000 shares of Class A common stock of \$0.01 par value.

None of OTC Markets Group's common stock has been registered under the Securities Act of 1933, as amended (the "Securities Act"), and we have no current plans to register any of our securities. Certain shares of our common stock are currently eligible for resale in the public market pursuant to the exemption from registration offered by Rule 144 under the Securities Act ("Rule 144"). The remaining outstanding shares of our common stock are "restricted securities" within the meaning of Rule 144 and may be eligible for resale in the future.

The following table shows Class A common stock share ownership as of March 31, 2020:

	March 31, 2020
(i) Number of shares authorized	14,000,000
(ii) Number of shares outstanding	11,659,395
(iii) Number of shares freely tradable (public float) ⁽¹⁾⁽²⁾	7,289,394
(iv) Total number of holders of record	207

- (1) The number of shares freely tradable may include shares held by shareholders owning 10%, or more of our Class A common stock. These shareholders may be considered "affiliates" within the meaning of Rule 144, and their shares may be "control shares" subject to the volume and manner of sale restrictions under Rule 144.
- (2) Our officers and directors hold approximately 4.2 million shares of our Class A common stock, which may be "control shares" subject to the volume and manner of sale restrictions under Rule 144. These shares are excluded from the number of shares freely tradable.

As of March 31, 2020, there are 1,787 non-objecting beneficial shareholders owning at least 100 shares of the Company's Class A common stock.

Our Class A common stock trades on the OTCQX market under the symbol OTCM (CUSIP Number: 67106F108).

Dividends

The declaration of dividends by OTC Markets Group is subject to the discretion of our Board of Directors. Our Board of Directors will consider such matters as general business conditions, our financial results, capital requirements, contractual, legal and regulatory restrictions on the payment of dividends and such other factors as our Board of Directors may deem relevant.

During the Reporting Period, our Board of Directors authorized and approved the following cash dividend:

<u>Declaration Date</u>	<u>Dividend Per Common Share</u>	<u>Record Date</u>	<u>Total Amount (in thousands)</u>	<u>Payment Date</u>
March 04, 2020	\$ 0.15	March 17, 2020	\$ 1,748	March 28, 2020

On May 5, 2020, the Board of Directors authorized and approved a quarterly cash dividend of \$0.15 per share of Class A common stock. The dividend is payable on June 25, 2020 to our stockholders of record on June 11, 2020.

Stock buyback program

On March 4, 2020, the Board of Directors refreshed the Company's stock repurchase program, giving the Company authorization to repurchase up to 300,000 shares of the Company's Class A common stock. The Company is authorized to purchase shares from time to time on the open market and through block trades, in accordance with the safe harbor provision of Rule 10b-18 under the Securities Exchange Act of 1934 (the "Exchange Act").

The following table shows purchases made by the Company of the Company's Class A common stock during the Reporting Period:

<u>Date</u>	<u>Number of Shares Purchased</u>	<u>Average Price Paid Per Share</u>	<u>Number of Shares Purchased as Part of Announced Repurchase Plan</u>	<u>Number of Shares Remaining To Be Purchased Under Announced Plan</u>
Feb 2020	102,732	\$34.20	102,732	197,268
Mar 2020	206	\$32.98	206	197,062
Mar 2020				300,000 ⁽¹⁾

(1) In March 2020, the Board of Directors refreshed the Company's stock repurchase program, authorizing the Company to repurchase up to 300,000 shares of the Class A common stock.

Item 3. Unaudited interim condensed consolidated financial statements

Copies of the unaudited interim condensed consolidated financial statements of OTC Markets Group for the three months ended March 31, 2020 and March 31, 2019, including the unaudited interim Condensed Consolidated Balance Sheets, Condensed Consolidated Statements of Income, Condensed Consolidated Statements of Cash Flows, Condensed Consolidated Statements of Stockholders' Equity and Notes to the condensed consolidated financial statements, are attached hereto as Exhibit 3.1 and are hereby incorporated by reference into this Quarterly Report.

The unaudited interim condensed consolidated financial statements have been prepared in accordance with generally accepted accounting principles in the United States (“U.S. GAAP”). The accompanying unaudited interim condensed consolidated financial statements reflect all adjustments which are, in the opinion of management, necessary for a fair statement of the results for the interim periods presented. These adjustments are of a normal recurring nature. As permitted under U.S. GAAP, certain footnotes or other financial information are condensed or omitted in the unaudited interim condensed consolidated financial statements. These unaudited interim condensed consolidated financial statements should be read in conjunction with the consolidated financial statements and related notes included in our Annual Report for the year ended December 31, 2019. The December 31, 2019 unaudited Condensed Consolidated Balance Sheet was derived from audited consolidated financial statements contained in our Annual Report for the year ended December 31, 2019, but does not include all disclosures required by U.S. GAAP. Operating results for the interim periods are not necessarily indicative of the results that may be expected for the fiscal year ending December 31, 2020.

Item 4. Management’s discussion and analysis

Overview

Our mission is to create better informed and more efficient financial markets.

We operate three business lines:

- OTC Link LLC is a FINRA member broker-dealer that operates two SEC registered ATSS.
- Market Data Licensing distributes market data and financial information.
- Corporate Services operates the OTCQX and OTCQB markets and offers issuers disclosure and regulatory compliance products.

We facilitate transparent trading by connecting brokers, organizing markets and incentivizing disclosure. We distribute market data that informs investment decisions, enables the efficient pricing of risk, and assists regulated entities in meeting their compliance obligations. We provide the benefits of public trading to a wide spectrum of U.S. and global companies.

Our Business

Our wholly owned subsidiary, OTC Link LLC, a FINRA member broker-dealer, operates OTC Link ATS and OTC Link ECN, both SEC registered ATSS. Accordingly, OTC Link LLC, OTC Link ATS and OTC Link ECN are subject to the direct regulatory oversight of the SEC and FINRA.

OTC Link ATS offers our broker-dealer subscribers a fully attributable, network-based model for quoting and facilitating transactions in OTC equity securities and serves a diverse community of FINRA member broker-dealers that operate as market makers, agency brokers and ATSS, including Electronic Communication Networks (“ECNs”). OTC Link ATS provides a suite of quotation and trade-messaging services offering broker-dealers control of trades and choice of counterparties so they can efficiently provide best execution, attract order flow, and comply with FINRA and SEC regulations. Unlike traditional exchanges and matching engines, OTC Link ATS is not an intermediary. Rather, OTC Link ATS delivers trade messages electronically, allowing subscribers to execute or negotiate trades.

OTC Link ECN functions as a matching engine and router for certain OTC securities. OTC Link ECN complements OTC Link ATS by providing FINRA registered broker-dealer subscribers with

anonymous order matching functionality. OTC Link ECN acts as an agency intermediary in relation to all transactions executed on the ECN's platform. When orders do not match internally on OTC Link ECN's matching engine, they are routed to an interdealer quotation system where they may appear as quotes using the market participant identifier "OTCX". Pursuant to applicable FINRA rules, OTC Link ECN submits trade reports to FINRA's OTC Reporting Facility. All transactions executed on OTC Link ECN are cleared and settled pursuant to a clearing agreement with Apex Clearing Corporation.

OTC Markets Group provides our subscribers with access to extensive market data and financial information. Due to the role OTC Link ATS plays in the trading process, and our interaction with issuers, we generate a significant amount of market data and information about companies. Our market data consists of real-time, delayed and end-of-day quotation and trading data, as well as security master data, company reference data, compliance data and compliance analytics for OTCQX, OTCQB, and Pink securities.

We offer a suite of market data licenses, priced per enterprise or per user, through direct connectivity, extranet connectivity, web interfaces, third-party market data redistributors and Order Management Systems ("OMS"). Depending on the license type, subscribers may distribute the market data on an internal-only basis, redistribute to clients or redistribute to the public. We generate a majority of our market data revenues from sales through market data redistributors, and certain of our market data licensing agreements include redistribution fees and rebates.

We also charge for the display of advertisements on www.otcmarkets.com.

Our Corporate Services business line includes the OTCQX Best Market, the OTCQB Venture Market, the Pink Open Market, and our suite of disclosure and information services.

The OTCQX Best Market provides efficient public trading without the complexity and cost of a national securities exchange listing. To join OTCQX, companies must meet minimum qualitative financial standards, adhere to common sense corporate governance practices, provide timely public disclosure and meet the requirements set out in our OTCQX Rules on an ongoing basis. Companies pay a one-time application fee and annual fees upon joining the OTCQX market and each renewal year.

The OTCQX market is divided into OTCQX U.S. and OTCQX International. OTCQX for Banks, an expansion of the OTCQX U.S. market, is specifically aimed at meeting the needs of community and regional banks. The OTCQX International market is targeted towards (i) large global companies that meet the listing standards of a qualified non-U.S. stock exchange in their primary market and do not see value in meeting multiple regulatory, compliance, disclosure, and accounting standards, and (ii) global emerging growth companies that are listed on a qualified non-U.S. stock exchange and may be working towards a U.S. exchange listing, but are not yet ready to deploy the management resources necessary to handle the operational complexity and cost burdens.

The OTCQB Venture Market provides public trading for developing and venture-stage companies and applies standards that promote price transparency and facilitate public disclosure. OTCQB is open to international companies that trade in the U.S. in reliance on an available exemption from SEC registration, and to domestic companies that are SEC reporting or who comply with our Alternative Reporting Standard and, in each case, meet the applicable OTCQB standards.

Securities traded on OTC Link ATS that do not meet the standards of, or choose not to apply for, the OTCQX Best Market or the OTCQB Venture Market are traded on the Pink Open Market. Companies on the Pink market are categorized as "Pink Current Information," "Pink

Limited Information” or “Pink No Information” based on the sufficiency and timeliness of the information they provide to investors. Pink companies can subscribe to our OTC Disclosure & News Service® to make current information available to their investors on our website and through our distribution channels.

Securities traded on the Pink Open Market that are the subject of a public interest concern may be flagged “Caveat Emptor” or buyer beware.

Recent Business Developments

Impact of the recent COVID-19 pandemic

In December 2019, a novel strain of coronavirus, now known as COVID-19 was reported in Wuhan, China and has since spread rapidly, with most countries and territories worldwide with confirmed cases of COVID-19, and a high concentration of cases in the United States. In January 2020, the World Health Organization (WHO) declared it a Public Health Emergency of International Concern and in early March 2020, characterized it as a pandemic. The rapid spread has resulted in governmental and other authorities around the world implementing numerous measures to contain the virus, including travel bans and restrictions, quarantines, shelter-in-place orders and business shutdowns. The pandemic and these containment measures have had, and are expected to continue to have, a substantial negative impact on businesses around the world and on global, regional and national economies.

The COVID-19 pandemic has resulted in federal, state and municipal regulations impacting our business operations. On March 20, 2020, the Governor of New York issued the New York State on PAUSE Executive Order, mandating the closure of all non-essential businesses and requiring that all non-essential employees refrain from travel and any public gatherings until May 15 to limit the spread of COVID-19. Other states where our employees reside have issued similar orders. OTC Markets Group is considered an essential business under the New York State PAUSE Executive Order, as a provider of services related to financial markets. Despite this designation, we have severely limited employee access to our physical locations, with 97% of our staff working remotely since mid-March.

Pursuant to our Business Continuity Plan, we are able to operate normally while connecting remotely, which gives us the opportunity to carefully evaluate our plan for bringing employees back to the office. The duration of applicable “stay-at-home” orders restricting the physical movement of our employees and vendors, as well as our employees’ ability to safely return to work in our offices, will impact our determination as to when employees will be permitted to return to the office. This determination will also be based on a variety of factors outside of our control, including the availability of testing, a sustained reduction in the number of cases and other factors.

The COVID-19 outbreak and the measures implemented to contain it, have resulted in an unprecedented slow-down in economic activity and a dramatic deterioration in macro-economic conditions at a global level. The COVID-19 pandemic did not have a material impact on our revenue and financial results for the three months ended March 31, 2020, with strong growth in our OTC Link business line, and the impact of price increases and user growth in our Market data business, more than offsetting weak growth in our Corporate Services business (see *Financial Results*, below).

However, we expect that the current global economic conditions are likely to have an adverse effect on our future business, financial condition and results of operations. We have seen and are likely to continue to see reduced sales in our Corporate Services business and may also see an increase in our voluntary non-renewal rate as issuers reach the end of their service

terms. In recognition of the unprecedented economic conditions, we have offered financial assistance in the form of extended payment terms as well as other temporary support (see *Temporary Relief Provided to OTCQX and OTCQB Companies with Certain Deficiencies*, below).

The extent to which the pandemic will materially adversely affect our business and results of operations will depend on numerous evolving factors and future developments that we are not able to predict, including the duration, spread and severity of the outbreak; the nature, extent and effectiveness of containment measures; the extent and duration of the effect on the global economic conditions and how quickly and to what extent normal economic and operating conditions can resume. The potential impact to our financial results is discussed further in the *Trends in Our Business* section below.

Temporary Relief Provided to OTCQX and OTCQB Companies with Certain Deficiencies

In March and April 2020, we announced measures designed to provide temporary relief to issuers on our OTCQX and OTCQB markets from certain of our market standards and requirements. In the context of the unprecedented market turmoil caused by the COVID-19 pandemic, we have provided issuers on our OTCQX and OTCQB markets with relief from bid price, market capitalization, market value and public float requirements through June 30, 2020. Further, in keeping with the SEC's announcement that it would provide public companies with a 45-day extension on the standard deadline for making certain disclosures available, we have provided similar relief to issuers on our markets. We remain committed to maintaining orderly markets and adhering to our data driven market standards, while recognizing, as other market operators have done, that temporary relief from certain requirements is an appropriate response to the current environment.

Canadian Transfer Agents now Participating in our Transfer Agent Verified Shares Program

In April 2020, we announced that transfer agents in Canada are now participating in our Transfer Agent Verified Shares Program, providing reliable and current share data on approximately 75% of the Canadian companies traded on our OTCQX and OTCQB markets. Participating transfer agents include Computershare Canada, AST Trust Company Canada and TSX Trust.

Enhancements to our Suite of Compliance Products

In March 2020, we announced the introduction of "Hot Sector" industry data points to our Small Cap Listed compliance product, providing broker-dealers and compliance and risk management professionals with "Hot Sector" data points to supplement existing data sets and allowing them to efficiently evaluate the roughly 2,300 equity securities listed on national securities exchanges that have a market capitalization below \$500 million.

Additionally, in April 2020, we introduced an additional "Hot Sector" designation that is assigned to companies engaged in industries that are connected to COVID-19. The new COVID-19 flag supplements existing data points in our Compliance Analytics and Small Cap Compliance file.

Enhancements to U.S. Bank Quarterly Call Reports

In April 2020, we introduced enhancements to the U.S. Bank Call Report data available on our website. Through this enhancement, users can access historical data trends and charting functionality on all Call Report data points for the more than 550 U.S. community banks trading

on the OTCQX, OTCQB, and Pink markets.

Launch of tie-in with Proactive Investors

In February 2020, we announced a tie-in with Proactive Investors, a digital financial news organization, to film executive interviews from our New York headquarters, in our newly built production studio. Companies traded on the OTCQX will be given the opportunity to access the Proactive's investor network.

Virtual Investor Conferences® Business

Following our acquisition, announced in early 2019, of assets related to the Virtual Investor Conferences® business ("VIC"), we have continued to devote internal resources to growing our VICSM business. Against the backdrop of the governmental measures instituted globally to contain the spread of COVID-19, measures that have restricted global travel, mandated the closure of businesses and introduced "stay-at-home" orders, we see this offering as an important tool for issuers to continue to communicate with and engage with investors and potential investors. During the Reporting Period, we hosted five VICs, with 46 companies participating, reaching more than 4,000 investors. Since the end of the reporting period we have hosted a further three events, including a partner event with KCSA focused on the Cannabis space and a Metals and Mining event. We have an additional 12 events already scheduled through the rest of the year. During the first quarter of 2019, we hosted three events and for the year ended December 31, 2019 we hosted a total of 18 events.

Recent Regulatory Developments Impacting our Business

State and federal policy makers have been focused on the impact of, and responses to, the COVID-19 pandemic. As a consequence, certain regulatory initiatives discussed in this section have been postponed and may be subject to further postponement.

SEC Proposed Rule and Concept Release on Exchange Act Rule 15c2-11

On September 25, 2019, the SEC published a Proposed Rule and Concept Release on Publication or Submission of Quotations without Specified Information (the "Proposed Rule"). The Proposed Rule would amend Rule 15c2-11 under the Exchange Act ("Rule 15c2-11"), which governs the publication of quotes in interdealer quotation systems such as our OTC Link ATS.

The Proposed Rule would require, among other things, that current information about a company be publicly available in order for that company to become, or remain, the subject of broker-dealer quotes on OTC Link ATS. The Proposed Rule recognizes the OTC Markets Group disclosure standards and designations of those companies that provide current information to the public. As such, the Proposed Rule would largely allow companies to become or remain quoted based on meeting our current information standards and would permit broker-dealers to rely on those designations in submitting quotations on OTC Link ATS. This would, for the first time, give us the ability to bring certain securities onto our markets without relying on a broker-dealer reviewing information and filing a Form 211 with FINRA.

Companies that do not make current information available, such as those we designate as Pink No Information, as well as certain shell companies, would no longer be available for public broker-dealer quotations on OTC Link ATS. Unsolicited quotations in companies that do not make current information available would continue to be permitted, provided they are from investors not affiliated with the company. The Proposed Rule also introduces several new exceptions to the initial information review requirements of Rule 15c2-11, including for the

securities of certain issuers with higher capitalizations and those that have been the subject of underwritten offerings.

We submitted comments on the Proposed Rule on November 25, 2019, December 30, 2019 and April 8, 2020, outlining our response to the Rule Proposal. Specifically, our comments support the Proposal's recognition of our market standards and processes, and otherwise focus on improving Rule 15c2-11 in the following areas:

- Modernize the standard of review with respect to the current information requirements under Rule 15c2-11.
- Simplify the requirements for initial and ongoing quoting and streamline FINRA's role in the administration of Rule 15c2-11.
- Adopt a bright-line definition to capture "shell companies" and impose additional disclosure requirements on these companies.
- Recognize a regulated "Expert Market" for broker-dealers and other institutional, professional or "Expert" investors to achieve best execution and meet other regulatory requirements in securities not eligible for public quoting under the Proposed Rule.
- Outside of Rule 15c2-11, impose additional disclosure requirements on insiders, affiliates and other powerful market participants.

In the event that the SEC adopts a final rule based on the Proposed Rule, we would expect that our financial results would be impacted, however it is not yet possible to determine the materiality of such an impact.

Blue Sky Secondary Trading Exemptions for OTCQX and OTCQB

As of May 1, 2020, our OTCQX and OTCQB markets are exempt from state Blue Sky laws regarding secondary trading in 36 states – Alaska, Arkansas, Colorado, Connecticut, Delaware, Georgia, Hawaii, Idaho (OTCQX only), Indiana, Iowa, Kansas (OTCQX only), Kentucky, Louisiana, Maine, Michigan, Minnesota, Mississippi, Missouri, Nebraska, New Jersey, New Mexico, North Dakota, Ohio, Oklahoma, Oregon, Pennsylvania, Rhode Island, South Dakota, Tennessee, Texas, Utah, Vermont (OTCQX only), Washington, West Virginia, Wisconsin and Wyoming. State Blue Sky laws generally help investors make informed decisions by mandating that companies disclose accurate and current information when offering or marketing securities. In February 2020, the Virginia legislature passed a bill that will become effective on July 1, 2020 and will provide a pathway for the OTCQX market to attain exempt status.

In connection with this initiative, in July 2018 the North American Securities Administrators Association ("NASAA"), the national organization of state securities regulators, announced a proposed model rule that would recognize OTC Markets Group as a "securities manual" with respect to securities on the OTCQX and OTCQB markets. If adopted by NASAA, the proposed model rule could lead to additional states recognizing these markets.

We believe recognition of our markets by state regulators and the resulting Blue Sky exemptions will make OTCQX and OTCQB more attractive to current and prospective companies. However, the potential impact of this initiative on our financial results is indirect, and therefore difficult to determine.

ESOP Fairness Act

On February 11, 2020, the ESOP Fairness Act (S.3270) (H.R.5851) was introduced by bi-partisan co-sponsors in the House and Senate. Employee Stock Ownership Plans ("ESOPs") give employees a greater opportunity to take an ownership stake in the companies they work for, which aids employee retention and promotes small company growth. Current IRS regulations impose additional requirements on non-exchange listed companies that seek to offer

an ESOP. We have long advocated for modernization of the rules regarding ESOPs. The ESOP Fairness Act would put qualified companies that meet established financial standards, such as those traded on the OTCQX market, on par with exchange listed companies by allowing them to fully access the benefits of public company ESOPs.

We intent to support the bill as it awaits further consideration by the House and Senate. The progress of the bill and the potential that it is ultimately enacted into law will determine the extent to which the ESOP Fairness Act will impact our financial results.

SEC Concept Release on Harmonization of Securities Offering Exemptions

On June 18, 2019, the SEC published a Concept Release on Harmonization of Securities Offering Exemptions (the “Concept Release”), seeking comments on various registration exemptions under the Securities Act and other federal securities laws concerning capital formation, including rules governing secondary trading. We submitted comments to the SEC regarding the Concept Release on September 24, 2019. Our comment letter suggests a number of modernizations to public secondary market regulation and the exempt offering framework, including proposals designed to support small company capital formation, fix regulatory operational issues within the public secondary markets, and enhance the disclosure required of company insiders, affiliates and other powerful market participants.

The Concept Release has resulted in two rule proposals. On December 18, 2019, the SEC proposed amendments to the definition of an “Accredited Investor” and on March 4, 2020, proposed amendments to the exempt offering framework, including offerings conducted under Regulation D and Regulation A of the Securities Act.

It is not yet possible to determine the potential impact of these proposals, and any further SEC proposals or rulemaking that may result from the Concept Release, on our financial results.

Consolidated Audit Trail

In 2016, the SEC approved a National Market System (NMS) plan to create a comprehensive database of trading activity, or consolidated audit trail (“CAT”), for regulatory market surveillance purposes. Under the CAT plan, self-regulatory organizations (SROs) and FINRA member broker-dealers (such as OTC Link LLC) are required to report information to, and fund the operation of, the CAT. As of May 1, 2020, the operating committee for the CAT plan has adopted certain technical specifications and timeliness for compliance but has not yet established the funding requirements for the CAT. The initial phase of CAT reporting obligations related to OTC equity securities is scheduled to begin on June 22, 2020. Unless further delays are announced, OTC Link LLC and its broker-dealer subscribers will have reporting responsibilities as of that date.

The applicable CAT reporting requirements will result in increased compliance and technology costs, which are likely to be material. However, it is not possible at this time to determine the potential impact on our financial results.

Thinly Traded Securities

On October 17, 2019, the SEC issued a Policy Statement on Market Structure Innovation for Thinly Traded Securities (the “Policy Statement”), seeking proposals to improve secondary market trading for smaller companies with less actively traded securities, including proposals to suspend or terminate unlisted trading privileges (“UTP”) for these companies and consolidate all trading onto a single exchange. UTP permits securities listed on a national securities exchange to be traded on other exchanges. Suspending UTP, or regulatory recognition of a single venue for small company trading, could negatively impact our corporate services business. On February 5, 2020, Nasdaq, Inc. submitted a proposal in response to the SEC’s Policy

Statement, proposing a set of rules for thinly traded securities that would, among other things, suspend UTP (the “Nasdaq Proposal”). If the SEC were to approve the Nasdaq Proposal, it is possible that Nasdaq could increase its efforts to compete for listings of certain companies currently traded on our OTCQX and OTCQB markets.

The SEC has not yet commented on the Nasdaq Proposal, or proposed any formal rulemaking with respect to thinly traded securities and, as such, we are not able to determine the potential impact of this Policy Statement or the Nasdaq Proposal on our financial results.

Trends in Our Business

As noted above under *Recent Business Developments*, the COVID-19 pandemic has resulted, and is likely to continue to result, in significant economic disruption. Considerable uncertainty still surrounds the likely trajectory of the COVID-19 pandemic and its potential long-term effects on the global economy. The full scope and extent of the potential impact to our business is dependent on a number of factors which are highly uncertain and cannot be predicted, including the scope and duration of the pandemic, the effectiveness of our work from home arrangements, the ability of third party vendors to continue to support our operations, the extent and scope of the adverse impact to our subscribers and customers, the extent and duration of the global economic downturn and how quickly and to what extent normal economic and operating conditions can resume.

Our framework for managing through this challenging environment is grounded in four key principles: supporting our colleagues and prioritizing their safety and well-being; continuing to serve our subscribers and customers; ensuring that we take the measures necessary in the short-term to protect our current operations and remain financially strong; and remaining focused on the critical long-term strategic initiatives that position our business for future growth.

With nearly all of our employees operating from fully remote working environments and limited non-essential business travel, we will continue to monitor developments and adjust accordingly. We plan to take a conservative and measured approach to having employees return to our offices, one that provides for the health and safety of our colleagues and allows us to best serve our clients.

While operating from an entirely remote environment, we have continued to support our broker-dealer community, the users of our market data and the diverse community of U.S. and global issuers that we serve. We have continued to operate our businesses, including facilitating unprecedented trading volumes on our two SEC registered ATSS. We have been able to remotely host virtual events for our issuers via our VIC business and continue our outreach through digital content and through our relationship management teams. We continue to devote resources to marketing and selling efforts focused on growing our subscriber base and adding issuers to our premium markets.

We operate three distinct business lines that generate diversified revenue streams and serve a broad range of market participants and a wide spectrum of U.S. and global issuers. We benefit from a subscription-based revenue model, with a significant proportion of our revenues coming from subscription-based arrangements that are recurring in nature. We ended the quarter with a strong balance sheet, \$22.7 million in cash on hand, no debt and access to a line of credit with JPMorgan Chase that makes up to \$1.5 million available for business operations.

The COVID-19 pandemic did not materially adversely affect our financial results for the Reporting Period, with strong growth in our OTC Link business line and the impact of price

increases and user growth in our Market Data Licensing business, offsetting weak growth in our Corporate Services business (see *Financial Results*, below).

During the month of March 2020, we saw significant volatility in the U.S. equity markets, including a number of market wide trading halts, and in our OTC Link business, this drove a very significant increase in the number of transactions executed on our OTC Link ECN as well as a marked increase in the number of quotes and trade messages on our OTC Link ATS. For the month of March, we executed on average 10,000 transactions per day on our OTC Link ECN, as compared to an average of 5,400 transactions per day in February, and 4,700 transactions per day in January. This compares to an average of approximately 3,100 transactions executed per day during the first quarter of 2019. This contributed to significant revenue growth from our OTC Link ECN and was the primary driver of the 17% quarter over increase in revenues from OTC Link. During the month of April, we continued to see a fairly active market environment, with approximately 8,000 transactions executed on average per day on our OTC Link ECN. Launched in late 2017, our OTC Link ECN had 61 subscribers as of March 31, 2020. We expect to continue to attract new subscribers to the platform and to grow our market share. However, the total addressable market is relatively limited, and we expect that in order to capture additional market share we may choose to compete more aggressively on pricing. Further, the COVID-19 pandemic may cause potential subscribers to delay or defer purchasing decisions or product and service implementations.

In our Market Data Licensing business, we saw a 3% increase in professional users, from 21,776 professional users as at March 31, 2019 to 22,437 professional users as at March 31, 2020. During the same period, the number of professional subscribers to the U.S. Equities Securities Information Processor (“UTP SIP”), which includes information on securities listed on Nasdaq, declined by 1% to 286,991 users. We continue to have a relatively modest share of UTP SIP users at 7.8% of the UTP SIP total as at March 31, 2020, up from 7.5% as at March 31, 2019. This likely reflects the smaller number of financial services firms that participate in the OTC markets versus the listed equities markets. Effective on January 1, 2020, we raised the monthly subscription price for Level 1 and Level 2 professional users of our market data from \$35 and \$75 per month, respectively, to \$45 and \$85 per month, respectively. This helped drive a 14% increase in quarter over quarter revenues derived from professional users.

The number of non-professional users of our market data declined significantly versus the prior period, with 11,694 non-professional users at March 31, 2020 as compared to 14,976 non-professional users at March 31, 2019. In the normal course of business operations, we expect to see, and have historically seen, significant changes in the number of non-professional users, in particular in response to fluctuations in interest and thus trading in “hot sectors”, including in recent years, the cryptocurrency and the cannabis sectors.

We continue to focus resources on developing and enhancing our suite of compliance analytics and compliance data products. In April 2019, we launched Canari, a web-based tool designed to provide users with a comprehensive view of quantitative compliance data for OTCQX, OTCQB, Pink and Grey Market securities (those without a public quote) and certain exchange listed securities. As of May 1, 2020, a total of 44 firms subscribe to our Compliance Data or Compliance Analytics products, representing most of the largest banks, custodians and clearing firms in the U.S. equities space. We have devoted significant resources to growing the subscriber base and believe that we have captured much of the total addressable market with respect to our existing product suite. Further, consolidation amongst the larger financial services firms, including for example recent high profile acquisitions in the retail broker space, is likely to continue, and could impact the addressable market both for our compliance products and for our enterprise level market data products more generally. However, we are devoting

internal resources to developing additional compliance products that address the needs of compliance professionals in other areas.

It is possible that the existing adverse economic conditions caused by the COVID-19 pandemic may worsen, become prolonged or lead to a severe economic recession. If that were to occur, it is possible that broker-dealer subscribers to our OTC Link business as well as enterprise level and other users of our Market Data Licensing products, would delay or defer purchasing decisions and product implementations, curtail their spending or cancel their services entirely.

In 2019 and 2020, we continue to focus on providing enhanced disclosure and investor engagement tools to corporate issuers on our OTCQX and OTCQB markets. These initiatives include our acquisition of the VIC business, the expansion of our Research Marketplace, now the Premium Provider Directory, a platform for companies to access the services of equity research firms and other firms who offer services to the issuer community, as well as other visibility initiatives such as our tie-in with Proactive Investors and company video and podcast series.

We have continued to work closely with the Canadian Securities Exchange to jointly market a North American capital markets solution and, during 2020, plan to devote further resources to similar initiatives with other global exchanges. Through our continued selling efforts, joint marketing efforts and enhanced product offerings, we hope to attract additional issuers to our markets and in particular, to grow the number of domestic banks and the number of international issuers on our markets. It is not yet possible to predict the impact these initiatives will have on Corporate Services revenues.

As of March 31, 2020, 414 companies were traded on the OTCQX Best Market, flat versus the prior year quarter. For the 2020 annual subscription period, we achieved a 92% retention rate, representing a 2 percentage point decrease versus our retention rate for the 2019 annual subscription period. During the Reporting Period, we added 9 new companies to the OTCQX market, a significant decline from the 30 companies added to the market in the prior year quarter. In March, we had to adapt our selling efforts to the challenges of a fully remote working environment and restrictions on business travel. Further, the rapid deterioration in global economic conditions that occurred in the later part of the Reporting Period resulted in a reduction in the number of companies that met our continuing market standards and likely contributed to qualified companies delaying or deferring purchasing decisions. For the month of April, we added 3 companies to our OTCQX market, as compared to the 8 companies that joined the OTCQX market during April 2019.

As of March 31, 2020, there were 893 companies on the OTCQB Venture Market, down versus 941 companies as of March 31, 2019. For the year ended December 31, 2019, we saw a decline in new sales, with 202 companies added, down versus the 243 joins in 2018. New sales in 2019 were constrained by a combination of factors, including the strengthening of OTCQB eligibility requirements, which had the effect of reducing the overall addressable market. During the Reporting Period, we added 28 new companies to the OTCQB market, down significantly versus the 68 companies added in the prior year quarter. For the month of April, we added 13 companies to the OTCQB market, down versus the 16 companies that joined the market in April 2019. OTCQB sales have also likely been constrained by the challenges of operating in a remote working environment. More significantly, the small and venture stage companies that the OTCQB market serves are among those most severely impacted by the rapid deterioration in global macro-economic conditions during the Reporting Period. U.S. companies make up a significant portion of OTCQB companies, and these companies have been adversely impacted by the unprecedented measures taken by state and local authorities across the U.S., including travel bans, shelter-in-place orders, and the mandatory closure of non-essential businesses.

The COVID-19 pandemic and the resultant deterioration in macro-economic conditions, is likely to cause a continuing dampening of demand for our Corporate Services products. Further, we are likely to see an increase in the number of customers, particularly OTCQB customers, who choose not to renew their services at the end of their service term. Given our subscription-based revenue model – and in particular in relation to our Corporate Services business, where subscription periods range from six months to fifteen months – any prolonged decline in sales, particularly if combined with an uptick in our non-renewal rates, would drive a decline in the number of companies on our premium markets, which would negatively impact our financial results both in the periods in which those declines occur, and in future periods.

For additional disclosure related to the potential impact of the COVID-19 pandemic on business operations, our financial results, see *Risk Factors*, above.

Over the past several years, we have made significant progress in our goal of gaining regulatory recognition for our OTCQX and OTCQB markets. We are continuing to work with NASAA and individual state regulators to achieve full nationwide Blue Sky recognition for secondary trading activities on our OTCQX and OTCQB markets.

We intend to continue our efforts to gain federal regulatory recognition for our data driven market standards and compliance processes and to advocate for changes that provide issuers on our market with a more efficient public market. For example, we have made some headway in advancing the ESOP Fairness Act, legislation that would ease restrictions on qualified OTC issuers wishing to offer their employees access to an Employee Stock Option Plan or ESOP, and we are making some progress in advancing regulatory change that would designate certain OTCQX and OTCQB securities as margin eligible. Recognition of our market standards by federal, state and international regulators provides investors with a benchmark against which to measure the quality of information available to them, while providing corporate issuers with a more efficient public market for their shares.

In September 2019, the SEC published a Proposed Rule that would amend Rule 15c2-11, which governs the publication of quotes in interdealer quotation systems such as our OTC Link ATS. The Proposed Rule would require, among other things, that current information about a company be publicly available in order for that company to become, or remain, the subject of broker-dealer quotes on OTC Link ATS.

In November and December 2019, and April 2020, we submitted comments to the Proposed Rule. In 2020 we will devote significant attention to continuing to advocate for changes that drive increased market efficiency and position us to better serve the needs of issuers, investors and other market participants. In the event that the SEC adopts a final rule based on the Proposed Rule, we would expect that our financial results would be impacted. Certain aspects of the Proposed Rule amendments could result in additional revenue opportunities, while other of the amendments could result in a reduction in the number of securities quoted on our markets.

For additional disclosure related to our regulatory initiatives, see *Recent Regulatory Developments Impacting Our Business*, above.

As we continue to navigate the challenging economic conditions resulting from the COVID-19 pandemic, we continue to evaluate both the current and future period impact of increasing costs related to our personnel, IT infrastructure and expense base more generally. Consistent with other companies in the financial technology sector, compensation and information technology costs make up a very significant proportion of our overall expenses, representing approximately 80% of our total operating expenses in each of the quarters ended March 31, 2019 and 2020. We recognize the importance of attracting and retaining the talent required to develop our

service offerings and manage our infrastructure. We have added headcount where we believe those additional resources can drive future earnings growth or are necessary to provide reliable services to our clients or to comply with our regulatory obligations. Our headcount increased from 98 as of March 31, 2019 to 102 as of March 31, 2020. We have not made and, at this time, do not plan to make any reductions to our existing headcount or compensation structure. As the COVID-19 pandemic unfolds, we will continue to evaluate our expense base in the context of our business operations and financial results. However, given that a significant portion of our costs are relatively fixed in nature, it may not be possible to reduce our operating expenses in line with reduced revenues, which would result in a contraction in our operating margin and a reduction in our operating income and earnings.

We have continued to make investments in the personnel that support our technology infrastructure. We believe such investments are necessary if we are to remain compliant with our regulatory obligations, including our obligations under Regulation Systems Compliance and Integrity ("Regulation SCI"). We expect that future investments with respect to our Regulation SCI compliance and related to CAT reporting responsibilities will be material to our financial results.

How OTC Markets Group Generates Revenues

Each of our three business lines offers a distinct fee structure designed to serve its constituents. OTC Link operates OTC Link ATS, with a subscription model and usage-based fees, and OTC Link ECN, with transaction-based fees. Corporate Services charges application fees, and subscription fees on an annual and semi-annual basis. Market Data Licensing charges distribution and licensing fees. A significant proportion of our revenues are derived pursuant to subscription arrangements; consequently, a significant majority of our revenues are recurring in nature. For the first three months of 2020 and 2019, approximately 85 and 87%, respectively, of our revenues were derived pursuant to subscription arrangements.

Each of our business lines is described in detail below.

OTC Link

Our trading services business is operated by our wholly owned subsidiary, OTC Link LLC. OTC Link LLC operates OTC Link ATS and OTC Link ECN.

Broker-dealers pay monthly subscription and connectivity fees to use OTC Link ATS. Our OTC Dealer® application provides broker-dealers a user interface into OTC Link ATS. Fees for use of the OTC Dealer application are based on the number of authorized users per subscriber and are discounted in graduated amounts in relation to total users per subscriber.

OTC Link ATS's FINRA member broker-dealer subscribers pay per security usage fees to (i) publish quotes and (ii) communicate and negotiate with counterparties on OTC Link ATS. Monthly OTC Link ATS position fees are based on the number of daily quote positions in Pink securities, with tiered pricing arrangements based on volume. Monthly OTC Link ATS message fees are based on the daily number of securities on OTC Link ATS for which trade messages are sent or received, with tiered pricing arrangements based on volume. The daily quoting and messaging fees allow subscribers to make unlimited quote updates in a single security and to send and receive an unlimited number of trade messages in a security on a given day.

OTC Link ECN generates transactional revenues based on share volume executed on the ECN matching platform. Broker-dealer subscribers pay a fixed fee per share executed where their orders remove posted liquidity on the ECN, while receiving a rebate on shares executed against their own posted liquidity.

Market Data Licensing

We generate Market Data Licensing revenues by providing our subscribers with access to the extensive market data, compliance data, company data and security information collected through our OTC Link and Corporate Services business lines.

Investors, traders, institutions, accountants, and regulators pay us monthly license fees to access this information. We offer a suite of market data licenses, priced at per enterprise or per subscriber rates, through direct connectivity, extranet connectivity, web interfaces, third-party market data redistributors and OMS providers. Depending on the license type, subscribers may distribute the market data on an internal-only basis, to clients, or to the public. We generate a majority of our market data revenues from sales through market data redistributors. The market data redistributors that offer our market data to their subscribers have historically remained long-term clients.

Certain of our market data license agreements include redistribution fees and rebates, which represented 10% in each of the first three months of 2020 and 2019.

Pricing information for each of our market data licenses is publicly available on our website.

We also charge for the right to display advertisements on www.otcmarkets.com. Website advertising revenue is included in our Market Data Licensing business line.

Corporate Services

We operate the OTCQX Best Market, the OTCQB Venture Market, and offer a suite of services to companies trading on all of our markets. These services include the OTC Disclosure & News Service for posting financial reports, disclosure documents and news releases; the VIC service; Real-Time Level 2 Quote Display, a service that companies sponsor to provide their investors with access to free real-time level 2 quotes on www.otcmarkets.com and the company's website; and the Blue Sky Monitoring Service for analysis, review, and guidance about a company's compliance with each U.S. state's securities laws.

Companies that choose to have their securities designated as OTCQX securities do so annually, on a calendar year basis, while companies on the OTCQB market renew their services annually or semi-annually based on the anniversary of the date on which they joined the market. All companies traded on the OTCQX or OTCQB markets pay a one-time application fee and annual or semi-annual fees. These fees are fixed and do not vary based on outstanding shares, market capitalization, market segment or otherwise. Companies on both markets also receive the OTC Disclosure & News Service, Real-Time Level 2 Quote Display and access to the Blue Sky Monitoring Service. Pink companies may subscribe separately to the OTC Disclosure & News Service, Real-Time Level 2 Quote Display, and the Blue Sky Monitoring Service. Companies can choose to subscribe to these services and pay fees on an annual or semi-annual basis.

Each of these services may be accessed through our www.otciq.com secure web portal.

Key Metrics

The table below presents key metrics for our OTC Link, Corporate Services and Market Data Licensing business lines for the three months ended March 31, 2020 and 2019.

	Three Months Ended March 31,	
	2020	2019
OTC Link		
Number of active ATS subscribers ⁽¹⁾	82	97
Number of active ECN subscribers ⁽¹⁾	61	42
New Form 211 filings	75	97
<i>Number of securities quoted: ⁽¹⁾</i>		
OTCQX	460	466
OTCQB	943	1,001
Pink	9,425	9,163
Total	10,828	10,630
<i>Dollar volume traded (in thousands):</i>		
OTCQX	\$ 21,572,063	\$ 12,416,006
OTCQB	4,684,318	7,537,804
Pink	91,426,989	64,343,627
Total	\$ 117,683,370	\$ 84,297,437
<i>Dollar volume per security (in thousands):</i>		
OTCQX	\$ 46,896	\$ 26,644
OTCQB	4,967	7,530
Pink	9,700	7,022
Corporate Services		
Graduates to a national securities exchange	16	12
<i>Number of corporate clients: ⁽¹⁾⁽²⁾</i>		
OTCQX	414	414
OTCQB	893	941
Pink	689	740
Total	1,996	2,095
Market Data Licensing		
Market data professional users ⁽¹⁾	22,437	21,776
Market data non-professional users ⁽¹⁾	11,694	14,976
Market data compliance file users ⁽¹⁾	41	30

(1) Figures presented are at period end.

(2) Figures presented represent the number of companies subscribing to our services.

Financial Results

Consolidated Results from Operations

Three Months Ended March 31, 2020 Versus Three Months Ended March 31, 2019

The table below presents comparative information from the Company's consolidated income statements for the three months ended March 31, 2020 and 2019.

(in thousands, except shares and per share data)	Three Months Ended March 31,		% change
	2020	2019	
Gross revenues	\$ 16,604	\$ 15,356	8%
Net revenues	15,903	14,730	8%
Revenues less transaction-based expenses	15,465	14,590	6%
Operating expenses	10,982	10,568	4%
Income from operations	4,483	4,022	11%
Operating profit margin	28.2%	27.3%	
Income before provision for income taxes	4,499	4,059	11%
Net income	\$ 3,855	\$ 3,547	9%
Diluted earnings per share	\$ 0.32	\$ 0.30	7%
Weighted-average shares outstanding, diluted	11,672,767	11,718,536	-

Revenues and Transaction-Based Expenses

The following table shows gross revenues by business line and consolidated revenues less transaction-based expenses for the three months ended March 31, 2020 and 2019.

(in thousands)	Three Months Ended March 31,		% change
	2020	2019	
OTC Link	\$ 3,320	\$ 2,843	17%
Market data licensing	6,745	6,071	11%
Corporate services	6,539	6,442	2%
Gross revenues	16,604	15,356	8%
Redistribution fees and rebates	(701)	(626)	12%
Net revenues	15,903	14,730	8%
Transaction-based expenses	(438)	(140)	213%
Revenues less transaction-based expenses	\$ 15,465	\$ 14,590	6%

Gross revenues for the Reporting Period increased \$1.2 million, or 8%, to \$16.6 million, as compared to the same prior year period.

- OTC Link revenues increased \$477 thousand, or 17%, for the Reporting Period, as compared to the same prior year period. The increase was primarily a result of revenues contributed by OTC Link ECN of \$404 thousand, driven by increased volume caused by significant market volatility. This increase was further impacted by an \$82 thousand, or 10%, increase in revenue from messages on the OTC Link ATS, consistent with an increase in trading volumes during the Reporting Period.
- Market Data Licensing revenues increased \$674 thousand, or 11%, for the Reporting Period, as compared to the same prior year period. The increase was primarily a result

of an increase of \$449 thousand, or 14%, in revenue from professional users, consistent with an increase in the Company's monthly subscription fees for professional user licenses effective from January 1, 2020, and a period over period increase in reported users. An increase in revenue from internal, delayed and other data services of \$161 thousand, or 20%, was primarily due to new sales and upgrades to premium versions of the Company's compliance data products, with 30 subscribers at March 31, 2019 and 41 subscribers at March 31, 2020. The increase was further impacted by a \$140 thousand, or 25%, increase in revenue from broker-dealer enterprise licenses, a result of increases in the Company's monthly enterprise level license fees effective January 1, 2020.

- Corporate Services revenues increased \$97 thousand, or 2%, for the Reporting Period, as compared to the same prior year period. Revenues for the OTCQX market increased by \$128 thousand, or 6%, in line with the higher number of companies on the OTCQX market at the beginning of the year, partially offset by a slowdown in sales during the Reporting Period and a 2 percentage point contraction in the renewal rate for the 2020 annual subscription period. Introduced in January 2019, the VIC offering contributed \$99 thousand in revenues in the Reporting Period. These increases were partially offset by a \$129 thousand, or 4%, decrease in revenues from the OTCQB market, a result of the decline in the number of companies on the market. A slowdown in sales during 2019 contributed to a lower number of companies on the market at the beginning of the Reporting Period, while a significant decline in sales in the Reporting Period further contributed to the decline in the number of companies (see further discussion above under *Trends in our Business*).
- Transaction-based expenses are comprised of rebates paid to subscribers providing liquidity on the OTC Link ECN and increased by \$298 thousand, or 213%, for the Reporting Period, as compared to the same prior year period, a result of the significant growth in trading volume on OTC Link ECN and an increase in the amount of liquidity rebates paid relative to liquidity fees received.

Operating Expenses

The following table shows OTC Markets Group's consolidated operating expenses for the three months ended March 31, 2020 and 2019.

(in thousands)	Three Months Ended March 31,		% change
	2020	2019	
Compensation and benefits	\$ 7,487	\$ 6,996	7%
IT Infrastructure and information services	1,533	1,527	-
Professional and consulting fees	490	390	26%
Marketing and advertising	242	251	(4%)
Occupancy costs	557	846	(34%)
Depreciation and amortization	414	279	48%
General, administrative and other	259	279	(7%)
Total operating expenses	<u>\$ 10,982</u>	<u>\$ 10,568</u>	4%

Operating expenses for the Reporting Period increased \$414 thousand, or 4%, to \$11.0 million, as compared to the same prior year period.

- Compensation and benefits expenses increased \$491 thousand, or 7%, for the Reporting Period, as compared to the same prior year period, primarily related to a \$375

thousand, or 7%, increase in salary, bonus and payroll tax expenses, driven by higher headcount and the impact of annual salary raises. Stock-based compensation expense increased \$123 thousand, or 16%, a result of year over year increases in the value of restricted stock awards. As a percentage of gross revenues, compensation and benefits costs decreased to 45% for the Reporting Period, as compared to 46% for the same prior year period.

- IT Infrastructure and information services expenses were flat compared to the same prior year period. Increased spend related to system security enhancements and additional development and support costs incurred related to our OTC Link ECN, were largely offset by one-time hardware costs incurred in the quarter ended March 31, 2019 in relation to our move to new corporate headquarters.
- Professional and consulting fees increased \$100 thousand, or 26%, for the Reporting Period, as compared to the same prior year period, primarily related to a \$77 thousand, or 32%, increase in consulting fees reflecting the impact of additional costs associated with the VIC business and consistent with the increase in the number of events during the Reporting Period. The increase was further impacted by an increase in clearing costs incurred in relation to the OTC Link ECN, in line with the increase in the number of transactions executed.
- Occupancy costs decreased \$289 thousand, or 34%, for the Reporting Period, as compared to the same prior year period. The decrease is a result of overlapping rent expense incurred in the prior year period, related to our move to our current corporate headquarters.
- Depreciation and Amortization costs increased \$135 thousand, or 48%, for the Reporting Period, as compared to the same prior year period. The increase is a result of depreciation expense related to software acquired pursuant to the Company's acquisition of Qaravan® Inc., capital investment made at the Company's corporate headquarters, and technology infrastructure upgrades at our primary and secondary data centers.

Income from Operations and Operating Profit Margin

(in thousands)	Three Months Ended March 31,		% change
	2020	2019	
Income from operations	\$ 4,483	\$ 4,022	11%
Operating profit margin	28.2%	27.3%	3%

Income from operations increased \$461 thousand, or 11%, for the Reporting Period, as compared to the same prior year period, and operating profit margin expanded from 27.3% to 28.1%, primarily as a result of the 8% increase in gross revenues, partially offset by a 4% increase in operating expenses.

Net Income

(in thousands, except shares and per share data)	Three Months Ended March 31,		% change
	2020	2019	
Income before provision for income taxes	\$ 4,499	\$ 4,059	11%
Provision for income taxes	644	512	26%
Effective income tax rate	14.3%	12.6%	13%
Net income	\$ 3,855	\$ 3,547	9%

Net income increased \$308 thousand, or 9%, for the Reporting Period, as compared to the same prior year period, due to a \$461 thousand increase in income from operations, partially offset by an increase in the Company's effective tax rate from 12.6% to 14.3%. The effective tax rate for the Reporting Period increased as a result of a decrease in the amount of excess tax benefit on stock-based compensation.

Liquidity and Capital Resources

Our liquidity is primarily derived from our working capital and cash flows from operations. We require cash to support our current operating levels, fund strategic growth initiatives, develop new services and enhance existing services, make capital expenditures, fund dividends, and pay federal, state and local corporate taxes. We expect that our operations will provide sufficient cash to fund our strategic initiatives. We have no outstanding debt and \$1.5 million available for business operations under our line of credit, which gives us additional flexibility in managing our cash flows.

Cash available for operations

The following table presents cash available for operations, which consists of cash, as of March 31, 2020 and December 31, 2019.

(in thousands)	March 31,	December 31,	% change
	2020	2019	
Cash available for operations	\$ 22,654	\$ 28,217	(20%)

Cash available for operations decreased \$5.6 million during the Reporting Period, or 20%, to \$22.7 million as of March 31, 2020. The Company generated \$200 thousand of cash from operations for the Reporting Period. The Company utilized operating cashflows and cash on hand to fund \$344 thousand of investment in technology infrastructure, its first quarter dividend of \$1.7 million and repurchases of our common stock of \$3.5 million.

Cash Flow

The following table presents sources and uses of cash flows for the three months ended March 31, 2020 and 2019.

	Three Months Ended March 31,		% change
	2020	2019	
Net cash provided by operating activities	\$ 200	\$ 481	(58%)
Net cash used in investing activities	(344)	(3,525)	(90%)
Net cash used in financing activities	(5,419)	(3,397)	60%
Net Increase (decrease) in cash and restricted cash	<u>\$ (5,563)</u>	<u>\$ (6,441)</u>	(14%)

Cash provided by operating activities

Cash provided by operating activities for the Reporting Period was \$200 thousand, as compared to \$481 thousand for the same prior year period. Cash provided by operating activities for the Reporting Period consisted of net income of \$3.9 million, adjusted for non-cash items of \$1.4 million and changes in assets and liabilities of \$5 million. Adjustments for non-cash items to net income primarily consisted of depreciation and amortization expenses of \$414 thousand and stock-based compensation expense of \$910 thousand, partially offset by excess tax benefits related to stock-based compensation of \$345 thousand. The decrease in cash provided by operating activities was primarily a result of a \$1.2 million decrease in cash flows resulting from changes in assets and liabilities. This was, partially offset by a \$308 thousand increase in income and a \$629 increase in the impact of non-cash items.

Cash used in investing activities

Cash used in investing activities for the Reporting Period was \$344 thousand, as compared to \$3.5 million for the same prior year period. The cash used in the Reporting Period was primarily related to purchases of IT equipment for our data centers, while the cash used in the prior year period consisted of spend related to leasehold improvements and IT infrastructure for our new corporate headquarters, the acquisition of Qaravan Inc., as well as upgrades to our data center infrastructure.

Cash used in financing activities

Cash used in financing activities for the Reporting Period was \$5.4 million, as compared to \$3.4 million for the same prior year period. The cash used in both periods was primarily related to dividends paid to our shareholders and repurchases of our common stock. The increase in the amount of cash used was primarily related to an increase in the amount of the Company's share repurchases, from \$1.4 million in the prior year period, to \$3.5 million in the Reporting Period.

Capital resources and working capital

OTC Markets Group's working capital at March 31, 2020 was \$9.8 million, an increase of \$166 thousand, or 2%, from \$9.6 million at December 31, 2019. Working capital includes certain non-operating assets and liabilities, such as prepaid income taxes and income taxes payable. The increase in working capital for the Reporting Period was primarily attributable to cash generated by operating activities.

Line of Credit

On July 7, 2012, the Company entered into a line of credit with JPMorgan Chase (the "Line of Credit") that made up to \$1.5 million available for business operations. The effective interest rate of the Line of Credit is benchmarked to the London Inter Bank Offered Rate (LIBOR). The

Line of Credit has been extended through June 26, 2020. We have not drawn funds on the Line of Credit. Under the terms of the Line of Credit, we agreed to fulfill certain affirmative and negative covenants and other specified terms. As at March 31, 2020, the Company was in compliance with all of the covenants and other terms of the Line of Credit.

Operating Leases

We have entered into operating lease agreements for our offices and recognize rent expense on a straight-line basis over the terms of the leases.

Off-Balance Sheet Arrangements

None.

Item 5. Legal proceedings

There are no current, past, pending or threatened legal proceedings or administrative actions either by or against OTC Markets Group that could have a material effect on our business, financial condition or operations. Our securities are not a party to any past or pending trading suspensions by a securities regulator.

Item 6. Defaults upon senior securities

None.

Item 7. Other information

None.

Item 8. Exhibits

- Exhibit 3.1 Unaudited interim condensed consolidated financial statements
- Exhibit 9.1 Certification of principal executive officer
- Exhibit 9.2 Certification of principal financial officer

Item 9. Certifications

Current certifications are filed as Exhibits 9.1 and 9.2 to this Quarterly Report.

Exhibit 3.1

OTC MARKETS GROUP INC.
CONDENSED CONSOLIDATED BALANCE SHEETS
(in thousands, except share information)
(Unaudited)

	March 31, 2020	December 31, 2019
Assets		
Current assets		
Cash	\$ 22,654	\$ 28,217
Accounts receivable, net of allowance for doubtful accounts of \$166 and \$168	5,720	5,157
Prepaid income taxes	413	318
Prepaid expenses and other current assets	1,187	1,338
Total current assets	29,974	35,030
Property and equipment, net	5,921	6,418
Operating lease right-of-use assets	15,730	16,018
Deferred tax assets, net	382	771
Goodwill	251	251
Intangible assets, net	40	40
Long-term restricted cash	1,561	1,561
Other assets	419	266
Total Assets	\$ 54,278	\$ 60,355
Liabilities and stockholders' equity		
Current liabilities		
Accounts payable	\$ 716	\$ 321
Accrued expenses and other current liabilities	5,036	9,154
Income taxes payable	107	99
Deferred revenue	14,308	15,815
Total current liabilities	20,167	25,389
Income tax reserve	1,852	1,764
Operating lease liabilities	15,240	15,529
Total Liabilities	37,259	42,682
Commitments and contingencies		
Stockholders' equity		
Common stock - par value \$0.01 per share		
Class A - 14,000,000 authorized, 12,296,029 issued, 11,659,395 outstanding at		
March 31, 2020; 12,189,022 issued, 11,655,326 outstanding at December 31, 2019	123	122
Additional paid-in capital	18,800	18,042
Retained earnings	10,213	8,106
Treasury stock - 636,634 shares at March 31, 2020 and 533,696 shares at December 31, 2019	(12,117)	(8,597)
Total Stockholders' Equity	17,019	17,673
Total Liabilities and Stockholders' Equity	\$ 54,278	\$ 60,355

See accompanying notes to unaudited condensed consolidated financial statements

OTC MARKETS GROUP INC.
CONDENSED CONSOLIDATED STATEMENTS OF INCOME
(in thousands, except per share information)
(Unaudited)

	Three Months Ended March 31,	
	2020	2019
Gross revenues	\$ 16,604	\$ 15,356
Redistribution fees and rebates	(701)	(626)
Net revenues	15,903	14,730
Transaction-based expenses	(438)	(140)
Revenues less transaction-based expenses	15,465	14,590
Operating expenses		
Compensation and benefits	7,487	6,996
IT Infrastructure and information services	1,533	1,527
Professional and consulting fees	490	390
Marketing and advertising	242	251
Occupancy costs	557	846
Depreciation and amortization	414	279
General, administrative and other	259	279
Total operating expenses	10,982	10,568
Income from operations	4,483	4,022
Other income		
Interest income	16	39
Other income, net	-	(2)
Income before provision for income taxes	4,499	4,059
Provision for income taxes	644	512
Net income	\$ 3,855	\$ 3,547
Net income per share		
Basic	0.33	\$ 0.30
Diluted	0.32	\$ 0.30

See accompanying notes to unaudited condensed consolidated financial statements

OTC MARKETS GROUP INC.
CONDENSED CONSOLIDATED STATEMENTS OF STOCKHOLDERS' EQUITY
(in thousands)
(Unaudited)

	Three Months Ended March 31,	
	2020	2019
Beginning balance	\$ 17,673	\$ 16,409
Increase from net income	3,855	3,547
Dividends paid	(1,748)	(1,743)
Stock-based compensation	910	786
Issuance of restricted and common shares, net	(151)	(264)
Issuance of common stock for the acquisition of Qaravan	-	272
Purchases of treasury stock	(3,520)	(1,390)
Ending balance	\$ 17,019	\$ 17,617

See accompanying notes to unaudited condensed consolidated financial statements

OTC MARKETS GROUP INC.
CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS
(in thousands)
(Unaudited)

	Three Months Ended March 31,	
	2020	2019
Cash flows from operating activities		
Net income	\$ 3,855	\$ 3,547
Adjustments to reconcile net income to net cash provided by operating activities		
Depreciation and amortization	414	279
Provision for bad debts	(5)	(6)
Stock-based compensation	910	786
Excess tax benefits related to stock-based compensation	(345)	(394)
Deferred income taxes	389	55
Loss on disposal of fixed assets	-	14
Changes in assets and liabilities:		
Accounts receivable	(558)	(471)
Prepaid expenses and other current assets	151	(5)
Prepaid income taxes	(95)	180
Accounts payable	395	(62)
Accrued expenses and other current liabilities	(3,690)	(3,258)
Income tax payable	353	412
Income tax reserve	88	78
Deferred revenue	(1,507)	(826)
Other changes in assets and liabilities	(155)	152
Net cash provided by operating activities	200	481
Cash flows from investing activities		
Purchases of property and equipment	(344)	(2,861)
Acquisition of Qaravan assets	-	(664)
Net cash used in investing activities	(344)	(3,525)
Cash flows from financing activities		
Dividends paid	(1,748)	(1,743)
Issuance of restricted and common shares, net	(151)	(264)
Purchases of treasury stock	(3,520)	(1,390)
Net cash used in financing activities	(5,419)	(3,397)
Net decrease in cash and restricted cash	(5,563)	(6,441)
Cash and restricted cash at beginning of period	29,778	30,534
Cash and restricted cash at end of period	<u>\$ 24,215</u>	<u>\$ 24,093</u>
Reconciliation of cash and restricted cash:		
Cash	\$ 22,654	\$ 22,372
Short-term restricted cash	-	160
Long-term restricted cash	1,561	1,561
Total Cash and restricted cash	<u>\$ 24,215</u>	<u>\$ 24,093</u>
Supplemental Disclosure of Cash Flow Information		
Income taxes paid, net of refund	\$ 255	\$ 183
Non-cash investing activities:		
Property and equipment included in accounts payable or accrued expenses	-	405
Common stock issued for the acquisition of Qaravan	-	272

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements

(in thousands, except share and per share information)

Note 1. Description of Business

Overview

OTC Markets Group Inc. (“OTC Markets Group” or the “Company”) (OTCQX: OTCM) operates the OTCQX® Best Market, the OTCQB® Venture Market, and the Pink® Open Market for 10,000 U.S. and global securities. Through OTC Link® ATS and OTC Link ECN, each a Securities and Exchange Commission (“SEC”) registered Alternative Trading System (“ATS”) operated by the Company’s wholly owned subsidiary OTC Link® LLC, a Financial Industry Regulatory Authority, Inc. (“FINRA”) and SEC registered broker-dealer, the Company enables investors to easily trade through the broker of their choice and empowers companies to improve the quality and availability of information for their investors.

The Company has three business lines: OTC Link, Market Data Licensing and Corporate Services.

- OTC Link– OTC Link LLC operates two ATSS, OTC Link ATS and OTC Link ECN, which provide trading services to FINRA member broker-dealer subscribers.
- Market Data Licensing – OTC Markets Group is a central source of real-time data, delayed and historical market data, company financial data, security master data, corporate reference data and compliance data for securities traded on the OTCQX, OTCQB, and Pink markets. The Market Data Licensing business line provides investors, traders, institutions, and regulators with a suite of enterprise and user market data licenses, offered via direct or extranet connectivity, web interfaces, through third party market data redistributors or order management systems (OMSs).
- Corporate Services – OTC Markets Group operates the OTCQX Best Market and the OTCQB Venture Market and offers companies a suite of services that are designed to create a better informational experience for investors by facilitating public disclosure and communication with investors, promoting greater transparency and allowing companies to demonstrate regulatory compliance and mitigate market risk. These services include the OTC Disclosure & News Service®, Virtual Investor Conferences®, Real-Time Level 2 Quote Display and Blue Sky Monitoring Service.

Corporate Form

OTC Markets Group Inc. is a Delaware corporation. The Company is a “C” Corporation for federal, state, and local income tax purposes.

Note 2. Summary of Significant Accounting Policies

Basis of Presentation

The accompanying unaudited interim condensed consolidated financial statements are prepared in accordance with generally accepted accounting principles in the United States of America (“US GAAP”) and include the accounts of the Company and its wholly-owned subsidiaries, OTC Link LLC and OTC Markets Group International Ltd, and reflect all adjustments, consisting of normal recurring adjustments, that are, in the opinion of management, necessary for a fair statement of the results for the period. All intercompany transactions have been eliminated in consolidation. Management has assessed the segment reporting standards, analyzed how the chief operating decision maker (the Chief Executive Officer) manages the businesses, assesses performance and allocates resources; and has concluded that the Company has one reportable segment. Refer to Note 2, *Summary of*

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

Significant Accounting Policies, from the Company's Annual Report for the year ended December 31, 2019 for a full discussion of significant accounting policies.

The interim condensed consolidated financial statements are unaudited and should be read in conjunction with the audited financial statements of the Company as of and for the year ended December 31, 2019. Operating results for the Reporting Period are not necessarily indicative of the results that may be expected for the year ending December 31, 2020.

Use of Estimates

The preparation of these unaudited interim condensed consolidated financial statements requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities as of the date of the consolidated financial statements, and the reported amounts of revenue and expenses during the reporting periods. Estimates included in the consolidated financial statements include allowance for doubtful accounts, certain accrued expenses, stock-based compensation expense, the incremental borrowing rate used to calculate the present value of the operating lease liabilities, income tax reserve and provision for income taxes. Actual results could differ from those estimates. As the impact of the COVID-19 pandemic continues to unfold and additional information becomes available, some of our estimates and assumptions may change in future periods.

Recently Adopted Accounting Standards

In June 2016, the Financial Accounting Standards Board ("FASB") issued ASU 2016-13, *Measurement of Credit Losses on Financial Instruments*, which amends previously issued guidance regarding the impairment of financial instruments by creating an impairment model that is based on expected losses rather than incurred losses. ASU 2016-13 is effective for annual periods beginning after December 15, 2019. On January 1, 2020, the Company adopted the standard using the modified retrospective approach permitted by the standard. The adoption had no material impact on our Consolidated Statements of Income.

In August 2018, the FASB issued ASU 2018-13, *Fair Value Measurement (Topic 820): Disclosure Framework—Changes to the Disclosure Requirements for Fair Value Measurement*, which amends Topic 820 to modify, remove, and add certain fair value measurement disclosure requirements. ASU 2018-13 is effective for interim and annual periods beginning after December 15, 2019, with early adoption permitted. The Company adopted the standard effective January 1, 2020. The adoption had no material impact on the consolidated financial statements.

In August 2018, the FASB issued ASU 2018-15, *Intangibles—Goodwill and Other—Internal-Use Software (Subtopic 350-40): Customer's Accounting for Implementation Costs Incurred in a Cloud Computing Arrangement That Is a Service Contract*, which clarifies the accounting for implementation costs in cloud computing arrangements. ASU 2018-15 requires a customer in a cloud computing arrangement that is a service contract to follow the internal-use software guidance under Subtopic 350-40 to determine which implementation costs to capitalize as assets. ASU 2018-15 is effective for interim and annual periods beginning after December 15, 2019, with early adoption permitted. On January 1, 2020, the Company adopted the standard using the prospective approach to all implementation costs incurred after its adoption. The adoption had no material impact on the consolidated financial statements.

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

Recently Issued Accounting Standards Not Yet Adopted

There are no applicable material accounting pronouncements that have been issued but are not yet adopted.

Note 3. Revenue Recognition

Substantially all of our revenues are derived from contracts with customers. Revenues are recognized when control of the promised goods or services is transferred to our customers, in an amount that reflects the consideration we expect to be entitled to in exchange for those goods or services. In accordance with Topic 606, we evaluate our contracts with customers based on a five-step methodology. We: (1) Identify the contract with the customer; (2) Identify the performance obligations under the contract; (3) Determine the transaction price; (4) Allocate the transaction price to separate performance obligations; and (5) Recognize revenue when each performance obligation is satisfied. Certain of our ancillary Market Data Licensing and Corporate Services offerings, including news release and advertising services, are usage-based and are delivered at a point in time. Accordingly, we recognize revenue upon delivery of the service in line with the contractual agreement. Neither represent a material source of revenues.

OTC Link

OTC Link LLC operates two ATSS, OTC Link ATS and OTC Link ECN. Broker-dealers pay monthly subscription fees that permit access to the trading system, including the OTC Dealer® application and related support and updates, if applicable, during the contract term. Fees for such access are based on the number of authorized users per subscriber and are calculated based on a tiered pricing arrangement. These fees are invoiced monthly and in advance of the monthly service period. The Company satisfies its performance obligations over the contract term and records revenue from these fees ratably over the month, with the unrealized portion recorded as deferred revenue on the Company's Balance Sheet. The Company pays rebates to certain resellers of OTC Link ATS services. These are invoiced monthly based on the fixed rate specified in the applicable contract and recorded as a reduction of gross revenues. In addition to the aforementioned monthly access fees, broker-dealer subscribers to OTC Link ATS pay usage-based fees to publish quotes and deliver trade messages electronically to counterparties. Those fees are recognized at the point in time when the performance obligation, the publication of the quote or delivery of the message, is satisfied. OTC Link ECN generates revenues based on share volume executed on the ECN matching platform. Broker-dealer counterparties pay a fixed fee per share executed where their orders remove posted liquidity on the ECN, while receiving a rebate on shares executed against their own posted liquidity. These fees are invoiced monthly, in arrears and are due upon receipt. The Company recognizes transactional based revenue earned upon the execution of a trade, when the Company's obligations are substantially met. Similarly, payments made to subscribers providing liquidity are recognized upon execution and are recorded as transaction-based expenses within the Consolidated Statements of Income.

Market Data Licensing

Market Data Licensing generates revenues by providing our subscribers with continuous access to the market data, compliance data, company data and security information collected through our OTC Link and Corporate Services business lines. Subscribers pay monthly fees to access this information priced at per enterprise or per subscriber rates. Market data revenues are

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

recognized ratably over the term of the contract period, beginning on the date on which the data is made available to the customer, as our continuing performance obligations are met.

The majority of Market Data Licensing revenues result from sales through redistributors, some of whom earn redistribution fees based on a contractual fixed rate. These fees are invoiced monthly based on the contractual period and are recognized as a reduction of gross revenues. The vast majority of our redistribution fees and rebates are related to these arrangements with market data redistributors.

Corporate Services

Corporate Services generates revenues from the OTCQX Best Market and OTCQB Venture Market and from a suite of other services. Issuers pay annual or semi-annual subscription fees upfront to have their securities traded on the OTCQX or OTCQB markets and to subscribe to our various other services. We recognize these revenues ratably over time based on the subscription period as the performance obligations are met and the transfer of services occurs. Issuers pay one-time non-refundable application fees. These fees are not related to distinct performance obligations and are recognized ratably over the contractual service period, which is one year or shorter.

The following tables present our revenues disaggregated by timing of revenue recognition:

	Three Months Ended March 31,					
	2020			2019		
	Point in Time	Over Time	Total	Point in Time	Over Time	Total
OTC Link	\$ 2,359	\$ 961	\$ 3,320	\$ 1,837	\$ 1,006	\$ 2,843
Market data licensing	30	6,715	6,745	50	6,021	6,071
Corporate services	67	6,472	6,539	56	6,386	6,442
Gross revenues	2,456	14,148	16,604	1,943	13,413	15,356
Redistribution fees and rebates	(12)	(689)	(701)	(19)	(607)	(626)
Net revenues	2,444	13,459	15,903	1,924	12,806	14,730
Transaction-based expenses	(438)	-	(438)	(140)	-	(140)
Revenues less transaction-based expenses	\$ 2,006	\$ 13,459	\$ 15,465	\$ 1,784	\$ 12,806	\$ 14,590

The following tables present our revenues disaggregated by geography:

	Three Months Ended March 31,					
	2020			2019		
	U.S	International	Total	U.S	International	Total
OTC Link	\$ 3,320	\$ -	\$ 3,320	\$ 2,843	\$ -	\$ 2,843
Market data licensing	5,537	1,208	6,745	5,024	1,047	6,071
Corporate services	3,660	2,879	6,539	3,573	2,869	6,442
Gross revenues	12,517	4,087	16,604	11,440	3,916	15,356
Redistribution fees and rebates	(630)	(71)	(701)	(574)	(52)	(626)
Net revenues	11,887	4,016	15,903	10,866	3,864	14,730
Transaction-based expenses	(438)	-	(438)	(140)	-	(140)
Revenues less transaction-based expenses	\$ 11,449	\$ 4,016	\$ 15,465	\$ 10,726	\$ 3,864	\$ 14,590

Accounts receivable

As of March 31, 2020, and December 31, 2019, accounts receivable net of allowance for doubtful accounts, were \$5.7 million and \$5.2 million, respectively. The allowance for doubtful accounts reflects our best estimate of expected losses in the accounts receivable balance. The Company determines the allowance based on historical experience, the age of the accounts

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

receivable balances, specific account information, and our estimates of current and future economic conditions that may affect our customers' ability to pay.

Deferred revenue

Deferred revenue primarily represents our contractual performance obligations related to annual and semi-annual Corporate Services subscription fees, as well as monthly Market Data Licensing and OTC Link license subscription fees. The following table presents the changes in deferred revenue during the three months ended March 31, 2020 and 2019:

	Three Months Ended March 31,	
	2020	2019
Balance at at beginning of period	\$ 15,815	\$ 16,070
Net changes	(1,507)	(826)
Balance at at end of period	14,308	15,244

For the three months ended March 31, 2020 and 2019, we recognized \$6.1 million and \$6.2 million of revenue that was included in the balance of our deferred revenue at the beginning of the year.

Payment terms

Our payment terms vary by business line and the products or services offered and range from due upon receipt to net 45 days. For certain products, we require payment before services are rendered.

Note 4. Concentrations and Uncertainties

During the Reporting Period, Market Data Licensing revenues earned through one market data redistributor amounted to approximately 11% of gross revenues, as compared to 10% during the same prior year period. As of March 31, 2020 and 2019, accounts receivable from that same subscriber amounted to 25% and 23% of total accounts receivable, respectively.

Note 5. Fair Value of Financial Instruments

The Company accounts for certain financial instruments at fair value, in accordance with the provisions of the standard for fair value measurement, which utilizes a three-tier hierarchy to determine the fair value of financial assets and liabilities based on the quality of observable inputs and enhances disclosure requirements for fair value measurement. The three tiers are:

- Level 1 – Quoted prices (unadjusted) for identical assets or liabilities in an active market;
- Level 2 – Other inputs that are directly or indirectly observable in the market; and
- Level 3 – Unobservable inputs that are supported by little or no market activity.

The fair value of a financial instrument is the amount that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date and in the principal, or most advantageous market for that asset or liability.

Assets and liabilities on the unaudited interim Condensed Consolidated Balance Sheets that are measured at carrying value, which approximates fair value due to the short-term nature of these balances, include prepaid expenses, accrued expenses and other current liabilities and deferred revenue. These balances are classified as Level 1 and Level 2 in the fair value hierarchy.

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

Note 6. Property and Equipment

Property and equipment consisted of the following:

	March 31,	December 31,	Estimated useful life
	2020	2019	(years)
Computer software	\$ 2,499	\$ 2,499	2 - 3
Computer equipment	5,220	5,309	3 - 5
Furniture and fixtures	691	691	5 - 7
Leasehold improvements	2,804	2,804	Term of lease
Total property and equipment	11,214	11,303	
Accumulated depreciation and amortization	(5,293)	(4,885)	
Total property and equipment, net	\$ 5,921	\$ 6,418	

Depreciation and amortization on property and equipment included in the unaudited interim Condensed Consolidated Statements of Income amounted to \$414 and \$267 for the three months ended March 31, 2020 and 2019, respectively.

Computer software includes approximately \$186 and \$236 in unamortized website development costs, as of March 31, 2020 and December 31, 2019, respectively.

Note 7. Leases

The Company has two non-cancelable operating leases. One is for office space at 300 Vesey Street, New York, NY that was executed in October 2018 and expires on December 30, 2031. The other is for office space at 100 M Street SE, Washington, D.C. that was amended in May 2016 and expires on June 30, 2021. These operating leases are recorded as operating lease right-of-use assets on the Company's Consolidated Balance Sheet as at March 31, 2020 and represent the Company's right to use of the underlying asset during the lease term. The Company's obligation in respect of future payments due under the leases is included in accrued expenses and other current liabilities and the operating lease liabilities section on the Company's Consolidated Balance Sheet as at March 31, 2020.

For the Reporting Period, the Company recognized \$501 in total operating lease costs, which consisted of \$497 in operating lease costs for right-of-use assets and \$4 in short-term lease costs related to short-term operating leases. For the same prior year period, the Company recognized \$761 in total operating lease costs, which consisted of \$497 in operating lease costs for right-of-use assets and \$264 in short-term lease costs related to short-term operating leases.

Supplemental cash flow information related to leases was as follows:

	Three Months Ended March 31,	
	2020	2019
Cash Paid for operating lease liabilities	\$ 496	\$ 114
Right-of-use assets obtained in exchange for operating lease obligations	-	-

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

Supplemental balance sheet information related to leases was as follows:

	March 31, 2020	December 31, 2019
Operating lease right-of use assets	\$ 15,730	\$ 16,018
Other current liabilities	1,940	1,939
Operating lease liabilities	15,240	15,529
Total operating lease liabilities	17,180	17,468
Weighted-average remaining lease term	12 Years	12 Years
Weighted-average discount rate	4.8%	4.8%

Maturities of lease liabilities were as follows:

Remainder of 2020	\$ 1,492
2021	1,875
2022	1,759
2023	1,759
2024	1,875
Thereafter	13,919
Total lease payments	22,679
Less imputed interest	(5,499)
Total	\$ 17,180

As of December 31, 2019, maturities of lease liabilities were as follows:

2020	\$ 1,988
2021	1,875
2022	1,759
2023	1,759
2024	1,875
Thereafter	13,920
Total lease payments	23,176
Less imputed interest	(5,708)
Total	\$ 17,468

Note 8. Goodwill and Intangible Assets

Goodwill and intangible assets consisted of the following:

	March 31, 2020	December 31, 2019	Estimated useful life (years)
Goodwill	\$ 251	\$ 251	Indefinite
Intangible assets:			
Website	\$ 100	\$ 100	2
Subscription services	150	150	8-15
Distributor relations	27	27	15
Intellectual property	40	40	Indefinite
Total intangible assets	317	317	
Accumulated amortization	(277)	(277)	
Intangible assets, net	\$ 40	\$ 40	

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

Amortization expense for finite-lived intangible assets was \$0 and \$12 for the three months ended March 31, 2020 and 2019, respectively. The decrease in amortization expenses in 2020 compared with prior year was due to certain intangible assets acquired in 2017 being fully amortized in 2019. No impairment charges were recorded to goodwill or intangible assets during the three months ended March 31, 2020 or 2019.

Note 9. Accrued Expenses and Other Current Liabilities

Accrued expenses and other current liabilities consisted of the following:

	March 31, 2020	December 31, 2019
Payroll and employee withholdings	\$ 1,759	\$ 5,506
Accrued operating expenses	1,337	1,709
Current operating lease liabilities	1,940	1,939
Total accrued expenses and other current liabilities	\$ 5,036	\$ 9,154

Payroll and employee withholdings primarily consisted of accrued discretionary bonus, discretionary employer 401(k) contribution, vacation and sales commission. The balance of payroll and employee withholdings as of December 31, 2019 represents a full year of accrual, which was paid out during the Reporting Period.

Note 10. Stock-Based Compensation

OTC Markets Group grants stock options and restricted stock awards (“RSAs”) to employees and directors. The grant date fair value of each stock option is estimated using the Black-Scholes option pricing model and is amortized into compensation expense on a straight-line basis over the requisite service period, which is generally the vesting period. The grant date fair value of each RSA is based on the closing stock price on the day prior to the grant date. These charges are included in compensation and benefits expense and professional and consulting fees on the unaudited interim Condensed Consolidated Statements of Income.

A summary of the Company’s option activity for the Reporting Period is as follows:

(in thousands, except W/A exercise price)	Stock options	Weighted-average exercise price	Aggregate intrinsic value	Remaining contractual term (years)
Outstanding, January 1, 2020	662	\$ 21.17	\$ 9,186	6.56
Granted	35	34.27	-	
Exercised	(43)	16.27	609	
Outstanding, March 31, 2020	654	\$ 22.18	\$ 4,620	6.57
Exercisable, March 31, 2020	304	\$ 14.93	\$ 3,926	4.50

The Company recognized compensation expense related to stock options, net of estimated forfeitures, of \$169 and \$148 for the three months ended March 31, 2020 and 2019, respectively. Management has estimated forfeiture rates of 5% for stock options granted to management and 23% for stock options granted to other employees.

As at March 31, 2020, unrecognized compensation cost related to non-vested stock options was \$1.4 million, which will be recognized over approximately 3.7 years.

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

A summary of the Company's restricted stock activity for the Reporting Period is as follows:

(in thousands, except W/A fair value)	Restricted stock	Weighted-average fair value	Aggregate intrinsic value
Outstanding, January 1, 2020	276	\$ 24.57	\$ 9,669
Granted	92	34.20	3,173
Vested	(91)	22.03	3,117
Outstanding, March 31, 2020	277	\$ 28.61	\$ 7,651

The Company recognized compensation expense, net of estimated forfeitures, of \$703 and \$601 for the three months ended March 31, 2020 and 2019, respectively. Management has estimated forfeiture rates of 8% for RSAs granted to management and 13% for RSAs granted to other employees. In addition, the Company also recognized professional fees of \$38 and \$37 for the three months ended March 31, 2020 and 2019, respectively, related to the issuance of RSAs to the Board of Directors.

As at March 31, 2020, unrecognized compensation cost related to non-vested RSAs totaled \$6.7 million, which will be recognized over approximately 3.7 years.

Note 11. Contingencies

Partial Self-Insurance Reserves

Effective January 1, 2018, the Company switched from a fully insured employee health insurance policy to a partially self-insured plan. Under the new plan, the Company contracted a third-party administrator ("TPA") to access healthcare carriers, process claims, and facilitate the provision of specific and aggregate stop-loss coverage to limit our total exposure under the program. Accordingly, we record the TPA's administrative fees, insurance carrier fees, and stop-loss coverage premiums, as well as expected claims costs, on a straight-line basis over the annual coverage period. The Company's total cost of claims represents 80% of the Company's maximum liability for claims based on coverage provided under our specific and aggregate stop-loss policies. As claims are reported and paid, the liability is relieved. As of March 31, 2020, the estimated claims, fees and premiums accrued was higher than the premiums and fees paid to the TPA by \$249. This amount was recorded as a current liability in the accrued operating expenses section on our Consolidated Balance Sheet.

Legal Matters

There are no current, past, pending or threatened legal proceedings or administrative actions either by or against OTC Markets Group that could have a material effect on its business, financial condition or operations. OTC Markets Group is not a party to any past or pending trading suspensions by a securities regulator.

Note 12. Stockholders' Equity

Common Stock

The Company has one class of shares, Class A common stock, outstanding. Holders of Class A common stock, which include holders of unvested RSAs, are entitled to receive such dividends and other distributions in cash, stock of any corporation or property of the Company as may be authorized and declared by the Board of Directors from time to time out of the assets or funds of the Company legally available for the payment of dividends. Upon the voluntary or involuntary liquidation, dissolution or winding up of the Company, holders of Class A common

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

stock are entitled to a pro rata share of the net assets of the Company available for distribution in proportion to the number of shares of Class A common stock held by each.

The Company is authorized to issue 14,000,000 shares of common stock at \$0.01 par value. As of March 31, 2020, there were a total of 12,296,029 shares issued and 11,659,395 shares outstanding. As of December 31, 2019, there were a total of 12,189,022 shares issued and 11,655,326 shares outstanding.

Treasury Stock

In August 2011, the Board of Directors authorized the Company to repurchase up to 300,000 shares of Class A common stock in compliance with Rule 10b-18 under the Securities Exchange Act of 1934 (the "Exchange Act"). On March 6, 2020, the Board of Directors refreshed the Company's stock repurchase program, authorizing the repurchase of up to 300,000 shares of Class A common stock.

During the Reporting Period, the Company repurchased 102,938 shares of Class A common stock at average price of \$34.20 per share for a total of \$3,520. During the same prior year period, the Company repurchased 46,711 shares at average price of \$29.75 per share, for a total of \$1,390. All repurchased shares are held in treasury. Under the stock repurchase program, the Company is authorized to repurchase up to 300,000 shares.

Dividends

The Company declared a cash dividend of \$0.15 per Class A share during each of the three months ended March 31, 2020 and 2019, totaling \$1,748 and \$1,743, respectively.

Equity Incentive Plan

The Company's Equity Incentive Plan (the "Plan"), as adopted by the Board of Directors on May 7, 2019 and approved by a vote of the Company's shareholders on December 19, 2019, provides for the grant of incentive stock options, non-statutory stock options, restricted stock, restricted stock units, stock appreciation rights, performance units and performance shares, and governs options awarded (Refer to Note 10, *Stock-Based Compensation*). In each of November 2019 and 2018, the Board of Directors authorized the increase in the number of shares available for issuance under the Plan by 200,000 shares.

Note 13. Income Taxes

The Company's effective tax rates were 14.3% and 12.6% for the three months ended March 31, 2020 and 2019, respectively. The rates reflect the inclusion of state and local income taxes at the federal statutory rate of 21%. The effective tax rates for the three months ended March 31, 2020 differed from the federal statutory rate primarily due to the recognition of the U.S. federal research and development credit, the impact of the Foreign-Derived Intangible Income deduction available pursuant to provisions of the Tax Cuts and Jobs Act, and the impact of excess tax benefits from stock-based compensation. Our effective tax rate is based on forecasted annual results which may fluctuate significantly through the rest of the year as a result of the economic impact of the COVID-19 pandemic. During the Reporting period and the prior year quarter, we recognized an income tax benefit related to the excess tax benefit on stock-based compensation of \$345 and \$394, respectively. On March 27, 2020, the Coronavirus Aid, Relief, and Economic Security Act ("CARES Act") was enacted. The CARES Act included modifications for net operating loss carryovers and carrybacks, provisions allowing for the immediate refund of alternative minimum tax credits, and a technical correction to the treatment of qualified improvement property under the Tax Cuts and Jobs Act. As of March 31,

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

2020, the Company has completed its initial evaluation of the CARES Act and concluded that the provisions will not have an impact on our effective tax rate. Pursuant to the technical correction referenced above, the Company expects to claim bonus depreciation on its 2019 federal return related to qualified improvement property brought into service in 2019. The ultimate impact of the CARES Act may differ from the existing estimate due to the evolving analysis and as interpretations of the law are developed, including guidance issued by the Internal Revenue Service and other regulatory bodies.

As required by the uncertain tax position guidance in FASB Accounting Standards Codification Topic 740, the Company recognizes the financial statement benefit of a tax position only after determining that the relevant tax authority would be more likely than not sustain the position following an audit. For tax positions meeting the more-likely-than-not threshold, the amount recognized in the financial statements is the largest benefit that has a greater than 50 percent likelihood of being realized upon settlement with the relevant tax authority. The gross amount of unrecognized tax benefits as of March 31, 2020 and December 31, 2019 was \$1,446 and \$1,382, respectively, and was classified in income tax reserve in the unaudited interim Condensed Consolidated Balance Sheets. It is not reasonably possible that any unrecognized tax benefits will reverse within the next twelve months from settlements with taxing authorities.

The Company recognizes interest and penalties related to unrecognized tax benefits as a component of tax expense. The Company recognized interest and penalties of \$23 and \$15 for the three months ended March 31, 2020 and 2019, respectively. Interest and penalties accrued as of March 31, 2020 and December 31, 2019 were \$405 and \$382, respectively.

Note 14. Earnings Per Share

The Company calculates earnings per share pursuant to the two-class method, which is an earnings allocation formula that determines earnings per share for common stock and participating securities according to dividends declared and participation rights in undistributed earnings. Under this method, all earnings (distributed and undistributed) are allocated to common shares and participating securities based on their respective rights to receive dividends. RSAs granted to employees (Refer to Note 10, *Stock-Based Compensation*) participate in dividends on the same basis as common shares and such dividends are nonforfeitable by the holder. As a result, these RSAs meet the definition of a participating security.

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

The tables below present the calculations of earnings per share under the two-class method:

Basic Earnings per common share

(in thousands, except shares and per share data)	Three Months Ended March 31,	
	2020	2019
Net income available to common shareholders	\$ 3,855	\$ 3,547
Less: Undistributed earnings allocated to unvested RSAs	(50)	(44)
Less: Dividend equivalents on unvested RSAs	(42)	(43)
Net income allocated to common shareholders	<u>\$ 3,763</u>	<u>\$ 3,460</u>
Shares of common stock and common stock equivalents		
Weighted-average common shares outstanding	<u>11,415,322</u>	<u>11,350,341</u>
Basic earnings per share	\$ 0.33	\$ 0.30

Diluted Earnings per common share

(in thousands, except shares and per share data)	Three Months Ended March 31,	
	2020	2019
Net income available to common shareholders	\$ 3,855	\$ 3,547
Less: Undistributed earnings allocated to unvested RSAs	(49)	(43)
Less: Dividend equivalents on unvested RSAs	(42)	(43)
Net income allocated to common shareholders	<u>\$ 3,764</u>	<u>\$ 3,461</u>
Shares of common stock and common stock equivalents		
Weighted-average common shares outstanding	11,415,322	11,350,341
Dilutive effect of employee stock options and RSAs	<u>257,445</u>	<u>368,195</u>
Weighted-average shares used in diluted computation	<u>11,672,767</u>	<u>11,718,536</u>
Diluted earnings per share	\$ 0.32	\$ 0.30

Note 15. Regulatory Authorities

OTC Link LLC is a U.S. registered broker-dealer and is subject to the net capital requirements of Rule 15c3-1 under the Exchange Act. Rule 15c3-1 requires the maintenance of net capital, as defined, which shall be the greater of \$5 or 6-2/3% of aggregate indebtedness, as defined. OTC Link LLC's regulatory net capital as of March 31, 2020 and December 31, 2019 was \$2,657 and \$3,095, respectively, which exceeded the minimum net capital requirement by \$2,523 and \$2,944, respectively.

Note 16. Subsequent Events

For purposes of disclosure in the unaudited condensed consolidated financial statements, the Company has evaluated subsequent events through May 13, 2020, the date the financial statements were available to be issued.

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

On May 5, 2020, the Board of Directors authorized and approved a quarterly cash dividend of \$0.15 per share of Class A common stock. The quarterly dividend is payable on June 25, 2020 to our stockholders of record as of June 11, 2020.

EXHIBIT 9.1

CERTIFICATION OF PRINCIPAL EXECUTIVE OFFICER

I, R. Cromwell Coulson, Chief Executive Officer of OTC Markets Group Inc., certify that:

1. I have reviewed this Quarterly Report of OTC Markets Group Inc.;
2. Based on my knowledge, this Quarterly Report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this Quarterly Report; and
3. Based on my knowledge, the financial statements, and other financial information included or incorporated by reference in this Quarterly Report, fairly present in all material respects the financial condition, results of operations and cash flows of the issuer as of, and for, the periods presented in this Quarterly Report.

/s/ R. Cromwell Coulson

R. Cromwell Coulson
Chief Executive Officer

May 13, 2020

Date

EXHIBIT 9.2

CERTIFICATION OF PRINCIPAL FINANCIAL OFFICER

I, Beatrice Ordonez, Chief Financial Officer of OTC Markets Group Inc., certify that:

1. I have reviewed this Quarterly Report of OTC Markets Group Inc.;
2. Based on my knowledge, this Quarterly Report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this Quarterly Report; and
3. Based on my knowledge, the financial statements, and other financial information included or incorporated by reference in this Quarterly Report, fairly present in all material respects the financial condition, results of operations and cash flows of the issuer as of, and for, the periods presented in this Quarterly Report.

/s/ Beatrice Ordonez
Beatrice Ordonez
Chief Financial Officer

May 13, 2020
Date